Big 4 Auditors and Indicators of Unwarned Failure Severity

**Big 4: Firm and Industry × Year FE**

| | Severe Restatement | Severe Violation | Passive-Regulatory | Fraud-Related |
|---|---|---|---|---|
| | (1) | (2) | (3) | (4) |
| Big 4 | -0.00002 | -0.018*** | -0.00045 | -0.002 |
| | (0.003) | (0.006) | (0.00038) | (0.003) |
| Observations | 70,197 | 70,197 | 70,197 | 70,197 |

**Switch into Big 4**

| | Severe Restatement | Severe Violation | Passive-Regulatory | Fraud-Related |
|---|---|---|---|---|
| | (1) | (2) | (3) | (4) |
| Switch into Big 4 | -0.002 | -0.017* | -0.001 | -0.001 |
| | (0.005) | (0.009) | (0.001) | (0.005) |
| Observations | 63,674 | 63,674 | 63,674 | 63,674 |
| Treated firms | 202 | 202 | 202 | 202 |
| Control firms | 4,990 | 4,990 | 4,990 | 4,990 |

*Notes:* SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.